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Jewelry, but in June this year, it abruptly announced it would stop producing LGDs.

In April, another major miner, Rio Tinto, reported a 22 per cent reduction in first-quarter output of rough diamonds. In July, the company announced the temporary shutdown of its Diavik Pit mine in Canada due to climatic factors. Petra, which operates mines in South Africa, Botswana and Tanzania, also announced plans to curtail its production by 18-19 per cent over the next two years. American trade analyst Edahn Golan, speaking in Mumbai, says that despite the significant decline in mining, miners' inventories are still growing.

According to data released in early July by the Kimberley Process, a multilateral trade regime, total diamond output dropped by 8 per cent in 2023 to 111.5 million carats—the lowest it has recorded since it started publishing data two decades ago. Notably, by value, the production dropped 20 per cent ($12.73 billion or Rs 1 lakh crore) as the average price declined 14 per cent to $114 (Rs 9,500) per carat.

DOMESTIC FALLOUT

In India, reliable sources claim that hundreds of small polishers, traders and exporters have shut down. According to a conservative estimate, 50,000 cutting and polishing artisans have been laid off or are working fewer hours, with extended breaks. Workers are paid per diamond they polish. "Earlier, I would work on 60 diamonds a day," says Solanki, "but the number gradually dropped to 20, six months ago. Now, we are called in for work only five days a month." Bhavesh Tank, president of the Diamond Workers' Union

FADING LUSTRE

- ↘ Wholesale natural diamond prices have **dropped by nearly 30% this year**, while those of lab-grown diamonds (LGD) by 70% since 2018
- ↘ **Global rough and polished diamond** inventory is at a historic high
- ↘ The share of US markets, which was once **50% of the global diamond market,** has halved from 2021 levels, due to rising interest rates
- ↘ New and young consumers **prefer LGDs**
- ↘ Low-cost LGDs have **captured up to 15%** of the natural diamond market in the US. Penetration continues elsewhere too
- ↘ Demand from China and Hong Kong has **dropped to a third** of pre-pandemic levels; consumers are turning to gold as a stable investment option
- ↘ Mining companies have cut **production targets by 12–15%** for 2024 and 2025
- ↘ Diamond **polishing and cutting companies** in India are reducing manhours and laying off staff